GOBIERNO DE CHILE
MINISTERIO DE ECONOMÍA, FOMENTO Y TURISMO

RfP 1 Diagnostic: Where Chile's Tourism Competitiveness Stands Today

To	Office of the Vice Minister of Tourism, Ministerio de Economía, Fomento y Turismo
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Analytical frame	15-region legacy dataset (pre-2018, Ñuble not separable); DB1–DB5; TGM 530 Final Project, Part 1
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Executive recommendation

Chile should not market all regions equally. The evidence supports a three-tier portfolio: scale five regions now, prepare eight regions through targeted foundational investment, and hold two regions out of near-term national promotion. The immediate-scale portfolio is Metropolitana, Valparaíso, Coquimbo, Los Lagos and Magallanes y Antártica: each combines current demand, assets, enabling conditions or high-value niche potential strongly enough to justify action now. The result is a differentiated national instead of one general tourism strategy.

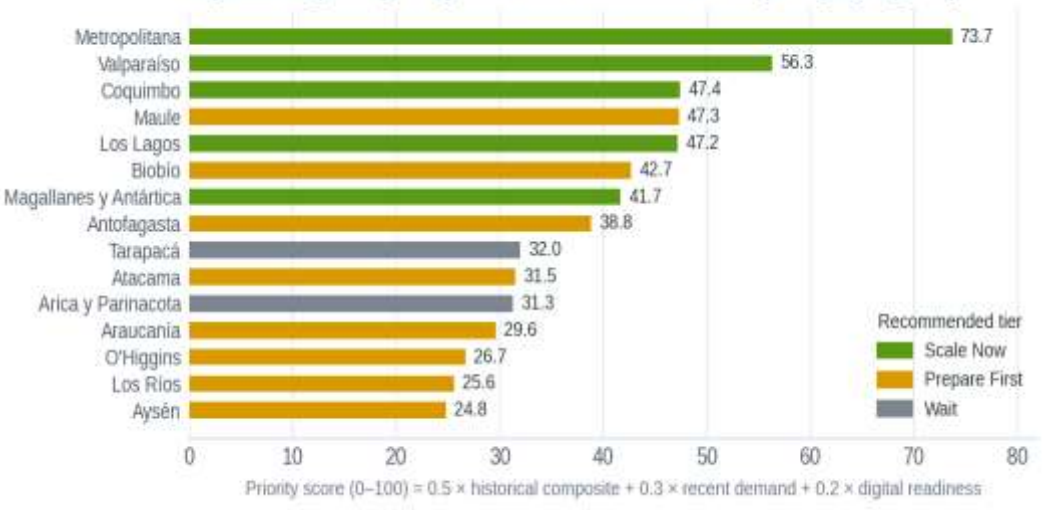
Our decision-support index standardises all 131 DB1-DB2 indicators to 0-100, reverses 20 clearly adverse indicators (environmental pressure, crime and accidents, unemployment, poverty and strikes) and averages them equally within the ten dimensions. The historical composite (50%) is read alongside 2019-2025 demand recovery (30%) and 2025 digital readiness (20%), with the Digital Signals feed as corroboration. It is a transparent prioritisation tool, not an official index, and follows the Travel & Tourism Development Index premise that resources, infrastructure, enabling conditions, services and sustainability must work together (World Economic Forum, 2024). Final tiers include professional judgment on niche value and bottlenecks, and every override is written down.

Portfolio decision

Tier	Regions	Decision
Scale Now	Coquimbo; Valparaíso; Metropolitana; Los Lagos; Magallanes y Antártica	Invest and promote now while protecting carrying capacity and sustainability.
Prepare First	Antofagasta; Atacama; O'Higgins; Maule; Biobío; Araucanía; Los Ríos; Aysén	Close workforce, service, mobility, digital or infrastructure bottlenecks before broad promotion.
Wait	Arica y Parinacota; Tarapacá	No near-term national promotion priority; validate the product proposition and lift the weakest enabling dimensions first.

Demand has not only recovered but has exceeded pre-pandemic levels. During the latest four quarters (2024 Q4 to 2025 Q3), the fifteen regions recorded 733,718 international and 1,551,568 domestic arrivals, equivalent to 146.5% and 127.3% of 2019 volumes, respectively, following the sharp decline in international arrivals to just 22.7% of 2019 levels in 2020. Average occupancy has recovered to 57.3% (2019: 56.7%), while the average daily rate increased from USD 107.8 to USD 136.0. Recovery, however, has not been uniform across regions. Metropolitana leads with 174.7% of its 2019 international arrivals, supported by 475,650 combined arrivals and 62.0% occupancy, followed by Coquimbo (158.3%) and Maule (157.7%). In contrast, O'Higgins (122.3%) and Aysén (123.4%) continue to recover at a slower pace. Although visitor demand has increased, demand alone should not determine investment decisions (Figure 1).

Figure 1. Regional priority score and recommended tier (15 legacy regions)



Regional tourism identities and target travelers

The required videos reinforce the portfolio logic: Chile is marketed through unusually diverse landscapes and experiences rather than a single product, the 'Open Nature' positioning emphasises nature and adventure, 'Chile is Waiting for You' spans the Atacama, the wine valleys, Chiloé, Rapa Nui and Santiago, and the regional overview underscores the geographic diversity created by Chile's 4,300-kilometre north–south form (Chile Travel, n.d.-a, n.d.-b; Marca Chile, n.d.). To make the identity calls auditable we scored eight candidate identities per region from 48 DB1-DB2 indicators (min-max normalised, equal weights; sheet Identity_Scoring) and adopted the data rank unless a documented reason argued otherwise. Three calls were revised on review: Metropolitana (culture and heritage primary: 35 museums, 404 national monuments with its five ski resorts as the secondary identity) and Aysén and Magallanes (nature and adventure primary; their 'winter' scores were inflated by a glacier indicator, and each has one ski resort).

Region	Tier	Primary identity	Secondary identity	Target traveler segments (primary; secondary)
Arica y Parinacota	Wait	Community & Indigenous	Culture & Heritage	responsible cultural & community-based; culture-led city-break & heritage
Tarapacá	Wait	Wellness & Thermal	Astro & Desert	wellness, thermal & regional leisure; experience-seeking, astronomy & photography
Antofagasta	Prepare First	Astro & Desert	Culture & Heritage	experience-seeking, astronomy & photography; culture-led city-break & heritage
Atacama	Prepare First	Astro & Desert	Coastal & Cruise	experience-seeking, astronomy & photography; coastal leisure, cruise & family
Coquimbo	Scale Now	Coastal & Cruise	Astro & Desert	coastal leisure, cruise & family; experience-seeking, astronomy & photography
Valparaíso	Scale Now	Coastal & Cruise	Culture & Heritage	coastal leisure, cruise & family; culture-led city-break & heritage
Metropolitana	Scale Now	Culture & Heritage	Winter & Mountain	culture-led city-break & heritage; winter-sports & mountain-adventure
O'Higgins	Prepare First	Wine & Gastronomy	Culture & Heritage	affluent culinary & wine; culture-led city-break & heritage
Maule	Prepare First	Wellness & Thermal	Winter & Mountain	wellness, thermal & regional leisure; winter-sports & mountain-adventure
Biobío	Prepare First	Culture & Heritage	Winter & Mountain	culture-led city-break & heritage; winter-sports & mountain-adventure
Araucanía	Prepare First	Wellness & Thermal	Winter & Mountain	wellness, thermal & regional leisure; winter-sports & mountain-adventure
Los Ríos	Prepare First	Wellness & Thermal	Nature & Adventure	wellness, thermal & regional leisure; eco-conscious adventure & longer-stay
Los Lagos	Scale Now	Coastal & Cruise	Nature & Adventure	coastal leisure, cruise & family; eco-conscious adventure & longer-stay
Aysén	Prepare First	Nature & Adventure	Winter & Mountain	eco-conscious adventure & longer-stay; winter-sports & mountain-adventure
Magallanes y Antártica	Scale Now	Nature & Adventure	Coastal & Cruise	eco-conscious adventure & longer-stay; expedition-cruise & Antarctic-gateway

Traveler segmentation follows the required Visa reading: affluent and Gen Z travellers are leading the recovery and are inspired through social media and review sites; 28% of travellers want new and exotic experiences and 25% seek adventure; 58% book trip elements separately; and eco-friendly options win when they cost the same (Visa, 2023, pp. 5-17). Nature-heavy regions should therefore compete on quality, conservation and longer stays; urban and coastal regions on culture, short breaks, cruise and digitally enabled trip planning. Two challenges to the Ministry's list follow. First, Aysén and Magallanes support a distinct 'glaciers, fjords and Antarctic gateway' identity that neither 'winter sports' nor generic 'nature' captures well. Second, wine and gastronomy are under-recognised: it ranks first on the indicator evidence for Valparaíso (Casablanca and San Antonio) and is under-recorded for Maule (two vineyards in DB2 for Chile's largest wine valley), which the Ministry should verify before promotion.

Why the priorities differ

Region	Tier	Priority	Historical	Demand	Digital	Strongest dimensions	Weakest dimensions
Metropolitana	Scale Now	73.7	51.0	95.2	97.9	D3 62, D4 62	D2 17, D9 33
Valparaíso	Scale Now	56.3	42.5	70.9	69.0	D7 60, D8 53	D9 30, D10 33
Coquimbo	Scale Now	47.4	34.4	62.3	57.7	D7 59, D10 51	D6 15, D5 18
Maule	Prepare First	47.3	28.1	59.4	77.2	D7 61, D8 50	D4 13, D3 15
Los Lagos	Scale Now	47.2	44.3	53.4	45.2	D8 70, D7 65	D1 20, D3 27
Biobío	Prepare First	42.7	36.8	45.6	52.8	D10 80, D7 66	D4 17, D6 20
Magallanes y Antártica	Scale Now	41.7	39.5	35.1	57.0	D7 66, D8 53	D10 10, D1 13
Antofagasta	Prepare First	38.8	36.2	35.4	50.6	D8 66, D7 50	D10 22, D1 24
Tarapacá	Wait	32.0	26.6	39.5	34.1	D7 49, D8 40	D9 12, D1 15
Atacama	Prepare First	31.5	26.3	41.2	29.9	D7 53, D8 46	D1 10, D5 15
Arica y Parinacota	Wait	31.3	29.2	36.3	28.8	D8 52, D7 50	D10 6, D6 17
Araucanía	Prepare First	29.6	33.6	35.7	10.4	D7 60, D2 56	D9 13, D3 21
O'Higgins	Prepare First	26.7	27.7	30.4	18.7	D7 64, D8 55	D5 8, D4 12
Los Ríos	Prepare First	25.6	26.8	29.8	16.4	D7 65, D8 49	D1 10, D5 12
Aysén	Prepare First	24.8	34.0	11.2	22.2	D8 65, D2 58	D1 6, D4 14

Scores 0-100. Priority = 0.5 × historical composite + 0.3 × recent demand + 0.2 × digital readiness; strongest/weakest cells show dimension codes with scores (full profiles in Dashboard 02).

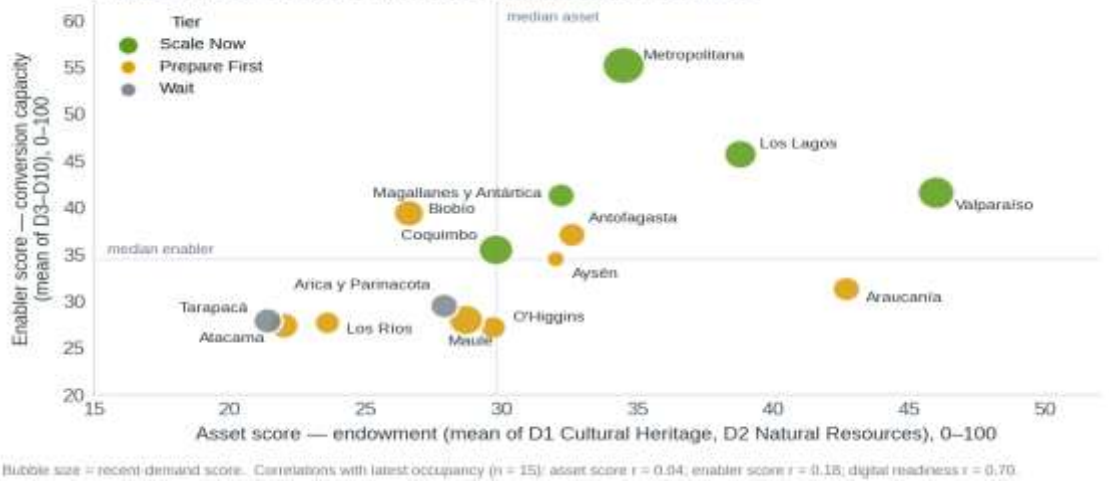
Metropolitana is the main tourism hub, with the highest priority (73.7), recent-demand (95.2) and digital-readiness (97.9) scores. Valparaíso combines the strongest asset base with high demand and readiness; Coquimbo's demand and digital position support an astro-coastal proposition despite weak service (D6) and mobility (D5); Los Lagos pairs Chile's best natural endowment with strong historical competitiveness. Four calls need more explanation than the composite score alone provides:

Region(s)	Tier	What the raw score suggests	Why the tier call holds
Magallanes y Antártica	**Scale Now**	2nd-weakest governance score of all 15 (D10 = 10, behind only Arica y Parinacota's 6).	Tourism here runs through international operators and park permits, not local promotion; none of its $5.5M budget funds D9 or D10. Weak governance funds conservation here, not a reason to hold back investment.
Arica y Parinacota; Tarapacá	**Wait**	Mid-table on the composite score (11th and 9th of 15), not the bottom of the ranking.	Lowest promotion (Tarapacá, D9 = 12) and governance (Arica y Parinacota, D10 = 6) capacity in the set. Without that capacity, other spending would not convert into results.
Aysén; Los Ríos	**Prepare First**	Score lower than Arica y Parinacota and Tarapacá on the composite (15th and 14th of 15).	Their weakest dimensions are product and infrastructure gaps, exactly what foundational investment is designed to close, not a capacity problem.
Aysén	**Prepare First (closest call for Wait)**	Lowest recent-demand score of all 15 regions (11.2).	2nd-highest Natural Resources score (57.6) and 2nd-highest average daily rate (USD 167) point to a premium, under-converted asset with an access problem, not a weak proposition. This is a judgment call, not a mechanical one, and the tier boundary we would revisit first with better flight-access and lodging data.

The remaining seven Prepare First regions follow the same pattern: real assets, weak conversion systems. Araucanía has excellent thermal, mountain and nature signals but the lowest digital readiness in the country (10.4); Maule out-scores two Scale Now regions on priority (47.3) yet its infrastructure (D4 13) and workforce (D3 15) are among the weakest, so promotion should follow product development. None of this means Arica y Parinacota or Tarapacá have no tourism potential; it means the enabling layer needs to be rebuilt before promotion spending would convert into results.

What the numbers say? (Descriptive and Correlation Evidence)

Figure 2. Assets do not convert into demand without enablers



Bubble size = recent-demand score. Correlations with latest occupancy (n = 15): asset score r = 0.04; enabler score r = 0.18; digital readiness r = 0.70.

Across the 10 dimensions, Security & Safety shows the smallest variation between regions (scores 49.1 to 66.5, coefficient of variation = 0.11). Governmental Involvement shows the largest variation (6.0 to 80.3, coefficient of variation = 0.66). This means safety is a common national strength, while government capacity is where regions differ the most. Metropolitana leads five dimensions but ranks last on Natural Resources. Recent demand correlates strongly with digital readiness (r = 0.85) and moderately with the historical composite (r = 0.63); the asset score is essentially uncorrelated with current occupancy (r = 0.04) whereas digital readiness is not (r = 0.70). A cross-sectional regression of recent demand on the asset, enabler and digital-readiness scores explains 73% of the variation (adjusted R^2 0.66, n = 15); digital readiness is the only significant term (+0.66 demand points per readiness point, p = 0.004) and the asset coefficient is indistinguishable from zero (p = 0.50). With eleven residual degrees of freedom, this is association, not causation. The vignette warns that a correlation such as broadband and high-value tourism does not guarantee that copying one reproduces the other (Serrato, n.d.) but it is consistent with funding enablers and digital capacity rather than promoting endowments alone (Figure 2 above). The national benchmark agrees: in the Travel & Tourism Development Index 2024 Chile ranks 31st of 119 (score 4.33; second in South America after Brazil), strongest on ICT Readiness (5.77) and Prioritization of T&T (5.33), weakest on Cultural Resources (2.19), Natural Resources (3.20) and Ground and Port Infrastructure (3.46), strong digital enablers, thin product depth and mobility, the same pattern as our regions (World Economic Forum, 2024, p. 33).

Data trust, limitations and visual evidence package

Data taxonomy and readiness. DB1-DB2 are structured, cross-sectional, real Ministry data (131 indicators, one snapshot, 15 regions); DB2's metadata rows date its indicators to 2004-2012 (37 of 45 dated values are 2010-2011; sources INE, SERNATUR,

DIPRES, Carabineros), so the historical composite describes conditions roughly a decade before DB3-DB5, one reason it carries 50% of the weight, not all of it, and should be refreshed. The 50/30/20 weighting is a judgment call, not an official standard, so we stress-tested it against three alternatives: 40% history/40% demand/20% digital, an equal 33/33/34 split, and a history-heavy 60/20/20 split (Weight_Sensitivity tab, supporting workbook). Composite rank moves by no more than two positions for every region under any alternative, and thirteen of fifteen never cross a tier boundary at all; only O'Higgins and Aysén do, each under one of the three alternative weightings. Maule ranks inside the composite top five under every weighting we tested yet is still assigned Prepare First on infrastructure and workforce grounds (D4, D3), confirming that override reflects the underlying data rather than a weighting artifact. DB3 is a structured quarterly panel (15 regions × 27 quarters, illustrative); DB4 is semi-structured JSON with four record types and nested fields (1,001 records, self-declared synthetic); DB5 is a structured 2025 cross-section with an AVG reference row. All five join on region code; every cleaned value was re-compared with the originals (0 mismatches). The register below is summarised from the eighteen-item version in the workbook (Data_Quality) and Dashboard 03. Because a 15-region cross-section cannot prove that one intervention produces another, the diagnostic keeps observed facts, composite ranking and professional judgment visibly separate, and the Tableau package is built so a minister can see that distinction in thirty seconds.

Issue	Evidence	Treatment and residual risk
15 vs 16 regions	DB1–DB2 predate Ñuble (2018); DB3–DB5 keep the same 15-region frame.	15-region frame kept for clean joins; no stand-alone Ñuble recommendation; Biobío figures include Ñuble territory.
Missing and currency-formatted values	DB1: 10 missing cells (9 dashes, 1 blank) wildfire land 4, forest share 3, preserved sites 2, outbound travellers 1; currency-formatted income and investment fields. DB2: one missing Crime Index (Aysén).	Cast to numeric; dashes treated as missing; median-imputed only inside composite scoring, with a flag.
VA/VI/VP/VPP codes; TOTAL and metadata rows	The row is labelled 'Tipo de variable'; within every dimension the codes run VA → VI → VP → VPP and all five D10 policy variables are VPP, a relevance grading, not a scale. TOTAL and AÑO/FUENTE rows follow the regions.	Codes not used as weights and flagged for documentation; TOTAL row dropped; DB2 source rows kept as a sourcing table.
DB3 duplicate and impossible values	Antofagasta 2022-Q4 duplicated; Aysén 2020-Q1 international arrivals = −3,148; Araucanía 2022-Q4 occupancy = 104.5%.	Duplicate dropped; both impossible values set to missing; Aysén recovery and Araucanía 2022 occupancy less reliable.
DB3 scattered gaps and an outlier	5 missing ADR and 5 missing occupancy cells (e.g., Araucanía 2025-Q1, Aysén 2025-Q2); Valparaíso 2025-Q1 occupancy of 86.2% is a 2.9-sigma outlier.	Averages use available quarters (Araucanía and Aysén rest on three); outlier kept, forecast error reported with and without it (RfP 2).
DB4 sparsity, sensor reliability and plausibility	Uneven coverage (2 platforms, 56 booking snapshots in 2025); 43 of 260 sensor readings lack battery data, 36 report battery below 20%; 97 'buoy' sea-condition readings sit at inland sites such as Lauca and Malalcahuello.	Analysed within record type; absent records never treated as zero; buoy readings not used; sensor upkeep written into the monitoring pilot.
Provenance	DB3–DB5 are illustrative course data calibrated to the real files.	Used for the decision simulation only; external validity is intentionally limited.

Tableau evidence package (04_Tableau_Workbook.twbx)

- **01 Where Chile Should Act Now:** Tier map sized by priority score, priority ranking, asset-versus-enabler view.
- **02 What Each Region Should Be Known For:** Identity matrix, region-selectable ten-dimension profile, identity-evidence heatmap.
- **03 Forecast, Budget & Data Trust:** Both RfP 2 forecasts with holdout and baseline, USD 45M allocation, DB4 signals, data-quality register.
- **04 Demand History & Forecast Reliability:** 2019–2025 series for every region and metric; the 45-test forecast-reliability matrix.

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